



Cambridge International AS & A Level

ECONOMICS

9708/11

Paper 1 AS Level Multiple Choice

May/June 2024

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.



Dune



This document has **12** pages. Any blank pages are indicated.

$\$40 \times 3 = \120 (opportunity cost) - This is what she could have earned.

- 1 A worker earns \$40 per hour. Rather than work, she decides to visit a museum for three hours. The visit costs a total of \$40.

What is the opportunity cost of visiting the museum?

- A \$40 B \$80 ☒ C \$120 D \$160

- 2 The nature of a typical car assembly plant has changed. The industry has fewer firms, operates on larger sites and has more automated machinery.

How is this change most likely to have affected the relative use of factors of production in the industry?

	increased relative use	decreased relative use
A	capital and enterprise	labour and land
B	enterprise and labour	land and capital
C	labour and land	capital and enterprise
☒ D	land and capital	enterprise and labour

large sites and automated machinery

fewer firms, more automated machines means less labour.

- 3 Which item would be least likely to be classed as land? (Natural resource)

- ☒ A fertilisers
B fisheries
C forests
D coal

Natural resources

unlimited wants (demand), limited resources (supply).

- 4 Why does the concept of scarcity apply to the use of fossil fuels?

- A Demand fluctuates according to price changes.
☒ B Supply is insufficient to meet demand.
C Their use is restricted because of harmful pollution.
D They are being replaced by renewable energy sources.

unrelated to scarcity.

'Inefficient'

- 5 An economist knows the current point at which an economy operates within its production possibility curve.

What can the economist conclude about this economy?

- A its degree of self-sufficiency
B its international competitiveness
☒ C its level of output of two goods
D its rate of economic growth

(PPC shows combinations of output an economy can produce with its given resources).

Demand ↓

6 An increase in which factor is likely to cause a shift to the left of the demand curve for cinema movies?

- A expenses for the heating system in the cinema *cost ↑, S ↓ (Price factor, movement along demand)*
- B payments charged by movie scriptwriters *cost ↑, S ↓*
- ☒ C the cost of transport to the cinema *, affects consumers, Demand ↓*
- D taxes on the incomes of cinema operators *affects producers, supply*

7 Four firms supply the market. The market supply is 50 units at \$20 and 100 units at \$40. The table shows the market share of each firm at the two prices.

Which firm does **not** have a normal upward-sloping supply curve?

	% market share at \$20	% market share at \$40
A	10	10
B	20	50
C	30	20
☒ D	40	20

$$* 50 \times 10\% = 5$$

$$** 100 \times 10\% = 10$$

Upward
Upward
Upward
straight line (OS: unchanged)
(perfectly inelastic supply)

8 Which statement is correct?

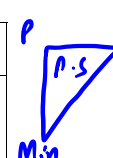
- A Demand for an inferior good has a positive relationship to income and a negative relationship to price. *correct*
- ☒ B Demand for an inferior good has a negative relationship to income and a negative relationship to price. *correct*
- C Demand for a normal good has a positive relationship to income and a positive relationship to price. *correct*
- D Demand for a normal good has a negative relationship to income and a positive relationship to price. *correct*

9 In which row are both statements correct?

	consumer surplus	producer surplus
A	the value that consumers gain from consuming a good over and above the value that would have been gained from consuming the <u>next best alternative</u>	the difference between the <u>actual revenue</u> received by firms for a good and the <u>profit maximising revenue</u>
B	the value that consumers gain from consuming a good <u>over and above</u> the <u>price paid</u> <u>correct</u> $W > A$	the difference between the <u>price received</u> by firms for a good or service and the <u>price at which they would have been prepared to supply that good</u> <u>correct</u>
C	the value that <u>consumers gain</u> from consuming a good over and above <u>the price paid</u> <u>correct</u> $W > A$	the difference between the <u>actual revenue</u> received by firms for a good and the <u>profit maximising revenue</u>
D	the value that consumers gain from consuming a good over and above the value that would have been gained from consuming the <u>next best alternative</u>	the difference between the price received by firms for a good and the price at which they would have been prepared to supply that good <u>correct</u>

Difference between willingness to pay and actual price paid.⁴

Difference between the price they are selling at and the minimum price they would be prepared to sell.



10 A firm calculates that the income elasticity of demand for its product is -3.0 .

What can be deduced from this information?

- A In a period of economic growth, its total revenue should increase.
- B In a period of economic recession, its total revenue should increase.
- C It has few substitutes so it should increase its price to increase total revenue.
- D It has many substitutes so it should decrease price to increase total revenue.

Inferior

Growth, Income ↑, inferior, D ↓

Recession, Income ↓, inferior, Demand ↑

Related to PED.

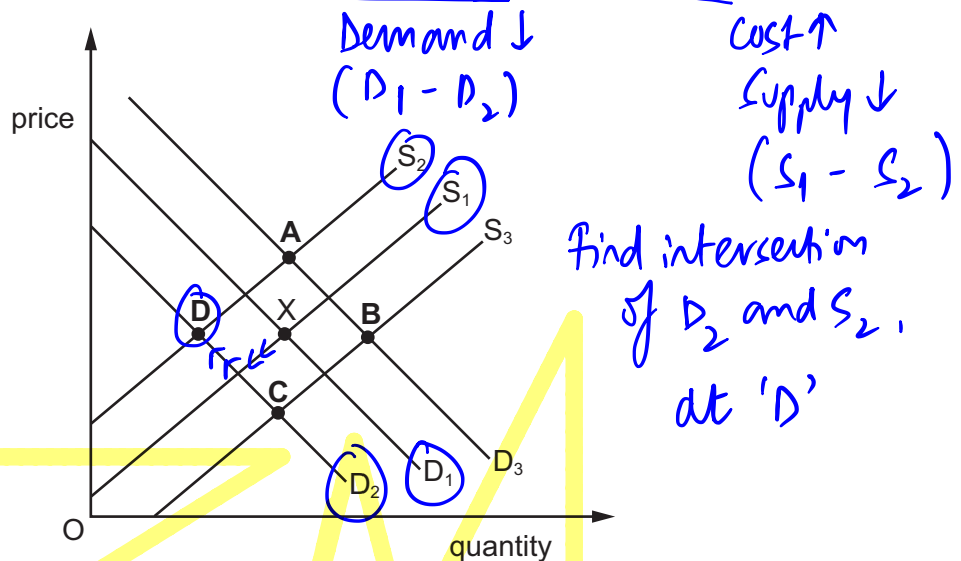
C: Inelastic demand

D: Elastic demand

- 11 The diagram shows the demand and supply curves for the global air cargo market.

The initial equilibrium is at point X.

What would the new equilibrium be if there is a global recession and an increase in fuel costs?



- 12 A government gives free food to poor households in a community.

What is this food an example of?

- A a free good → free food doesn't mean free good, someone paid for it, neither its in unlimited supply
 B a public good → non-rival and non-excludable
 C a demerit good → social cost exceeds private cost
 ✓ D a normal good (private good) (Rival, excludable) (government paid for it).

- 13 A government wishes to raise the incomes of farmers without raising the price of food to consumers.

Which policy should it use?

- A a maximum price below the market price for food affects consumers, affordability
 B a minimum price below the market price for food Below, ineffective, price mechanism operational
 ✓ C a payment of a subsidy to farmers to produce food
 D a release of government food stocks onto the market reduces income of farmers, fall in price, TR ↓

cost ↓
 Supply ↑
 P ↓

- 14 Governments in market economies give different reasons for intervening in the operation of an economy.

Opinion/Value judgement

Which reason given is a normative statement?

- A Average incomes have failed to keep pace with price rises during the past year.
- B Energy prices have increased by more than 50% during the past year.
- C The distribution of incomes has become more unfair during the past year. *Opinion*
- D The poorest 10% of households have suffered the greatest fall in average real income during the past year.

Positive statement - Driven by facts

- 15 The table illustrates macroeconomic data for an economy. All figures are in \$ billions.

What is the equilibrium real output?

	consumption expenditure	investment	government expenditure	exports	imports	real output						
A	110	+	100	+	50	+	10	-	20	=	100	250
B	120	+	100	+	60	+	20	-	30	=	200	270
C	140	+	100	+	70	+	30	-	40	=	300	300
D	160	+	100	+	80	+	40	-	50	=	430	330

- 16 A country's net national income (NNI) is less than its gross national income (GNI).

What does this mean?

NNI = GNI - Depreciation

- A incomes earned overseas were less than incomes sent overseas
- B inflation has been accounted for in NNI but not in GNI
- C the country's exports decreased
- D there has been a net depreciation in the value of the country's fixed capital assets

- 17 Asha is currently unemployed. She has been offered a job but has decided to decline the offer and search for a better paid job. *frictional*

Which type of unemployment is this?

- A cyclical (*Demand deficient*) (*Recession*) (*AD ↓*)
- B frictional (*Search/voluntary*)
- C seasonal (*particular time of a year*)
- D structural (*occupationally immobile*) (*fall in demand of particular industry*) (*Technological Unemployment*)

- 18 A major trading nation, country X, is in equilibrium at the full employment level of real output. There is then a recession in its main international markets.

What are the most likely consequences of this change for country X?

	rate of inflation	unemployment
A	decrease ✓	decrease
B	decrease ✓	increase ✓
C	unchanged	decrease
D	unchanged	increase ✓

Income ↓
AD ↓ (price ↓)
Production ↓
Unemployment ↑

- 19 Why would a fall in a country's average price level cause its aggregate demand curve to slope downwards?

- A It leads to an increase in interest rates.
B It ^{increases} reduces the real value of money balances.
C It makes the country's goods cheaper relative to foreign goods.
D It leads to the expectation of further price falls.

Price ↓, X prices ↓, internationally competitive, X quantity ↑.
Negative relationship

- 20 To counter deflation a central bank uses expansionary monetary policy.

What is likely to result?

- A a higher cost of borrowing ^{lower}
B an increase in aggregate demand, correct, R ↓, C ↑, I ↑, AD ↑
C an appreciation of the exchange rate R ↓, Depreciation
D an increase in government debt (under fiscal policy)

MS ↑, R ↓

- 21 Which statement about government budget surpluses and deficits is the most accurate?

- A A surplus implies that the balance of payments is in surplus. ^{unrelated}
B A surplus implies that the government is spending too much money. ^{no, too little}
C A deficit implies that the economy is in decline. ^{deficit, G ↑, AD ↑, growth}
D A deficit implies that the national debt is increasing. ^{G ↑, borrowing, national debt ↑, correct.}

Surplus.

Tax revenue >

Government spending

- 22 What is most likely to decrease if a government uses expansionary fiscal policy?

- A a balance of payments deficit
B cyclical unemployment (Demand deficient)
C the level of wages, It will increase, AD ↑, Demand ↑, wages ↑
D the rate of inflation, It will increase, as C ↑, I ↑, AD ↑, P ↑

Tax ↓, G ↑
C ↑, I ↑
AD ↑
unemployment ↓

It will increase, Tax ↓, spend ↑, n(TE) ↑

- 23 Sweden had a change in its Consumer Prices Index (CPI) of -0.6% .

Expansionary

Which combination of policies might its government use to restore price stability?

- A increase interest rates and increase indirect taxes *contractionary*
 B increase interest rates and reduce government spending *contractionary*
 C reduce government spending and increase income tax *contractionary*
 ✓ D reduce interest rates and increase government spending $\Rightarrow AD \uparrow$ (Expansionary)
C $\uparrow$, I $\uparrow$ G $\uparrow$ Demand and Supply

- 24 What is a disadvantage of operating a floating exchange rate system?

- A It makes it difficult to prioritise domestic economic policy aims. *Other way round*
 ✓ B It makes the prices of internationally traded goods less predictable. *Yes, volatility, fluctuations*
 C It means that the government must keep significant foreign currency reserves. *Under fixed managed.*
 D It requires continuous government intervention in currency markets.

- 25 What is not an example of protectionism?

- A export subsidies *E.g. (making exports competitive)*
 ✓ B import subsidies *(Not)*
 C quotas *E.g. (physical limit)*
 D tariffs *E.g. (Tax on imported goods)*

- 26 Countries X and Y both produce goods M and N. They decide to specialise and trade freely in the goods.

Under which conditions are the gains from specialisation and free trade likely to be smallest?

	mobility of factors of production between goods M and N	mobility of factors of production between countries X and Y
A	high	high ✓
B	high	low
✓ C	low ✓	high ✓
D	low ✓	low

when mobility of f.o.p is low then specialization can't take place as resources can't be able to switch

If f.o.p can easily move between countries then both can specialize in both goods as resources are available, therefore no gains from trade.

$$9 \quad \text{ToT} \uparrow = \frac{X \text{ prices}}{M \text{ prices}} \times 100$$

27 The terms of trade for a country increased from 100 to 120.

Which statements are correct?

- 1 The terms of trade have deteriorated. *No (improved)*
- 2 Fewer exports are needed to buy the same quantity of imports. *Correct*
- 3 The balance of payments must improve. *No* → *ToT and BoP are two different concepts*

A 1 and 2

B 1 only

C 2 and 3

☒ D 2 only

28 The table shows the number of Turkish lira (TRY) which can be exchanged for one US dollar (USD) in 2016 and 2021.

date	exchange rate
July 2016	1 USD = 2.83 TRY
July 2021	1 USD = 8.15 TRY

*\$ Appreciate
TRY depreciate*

What is the most likely cause of the change in the price of Turkish lira between 2016 and 2021?

- A a sustained fall in the demand for Turkish imports, *M ↓, outflow ↓, Appreciate*
- B a sustained fall in Turkish government debt as a percentage of GDP *Debt ↓, value ↑*
- C a sustained rise in Turkish interest rates *↑, Turkish, Appreciate*
- ☒ D a sustained rise in Turkish inflation

*→ X price ↑
X Qty ↓
X (TR) ↓, Demand TRY ↓, value ↓*

29 The table shows the current account of a balance of payments for January 2021.

	\$m	
exports of goods	15 000	
imports of goods	- 17 000	<u>-2000</u>
services		
credit	+ 2 500	<u>+500</u>
debit	- 2 000	
primary income		
credit	+ 100	<u>-900</u>
debit	- 1 000	
secondary income balance	60	<u>+60</u>

What is the current account balance?

- ✓ **A** a deficit of \$2340m
- B** a deficit of \$2000m
- C** a surplus of \$2340m
- D** a surplus of \$2000m

-2340 (deficit)

30 Which policy would not be an argument for the use of import tariffs?

- A** They are an effective way of raising revenue. valid
- B** They improve the balance of payments on a current account. valid
- C** They improve a nation's terms of trade in a bilateral agreement. valid.
- ✓ **D** They may lead to retaliation by trading partners.

$$ToT = \frac{x \text{ prices}}{M \text{ prices}} \times 100$$

→ It's a disadvantage, can't be a reason to impose tariff

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